direction. For example, it is typical in the construction of a stock market top for secondary stocks to begin heading lower well before the "blue chips," or high grade stocks. The accompanying chart [Figure 19-2], published regularly in *Coin World*, reveals that over the past year, the trend of low grade coins has diverged from that of high grade coins. In technical parlance, the index of low grade coins has "failed to confirm" this year's new high in the index of high grade coins. As *Coin World* Trend Editor Keith Zaner described the action in a recent article: "The rare coin market is definitely divided. Collector coins are doing extremely well but the common date[s] are weak." This behavior is analogous to what happens when a stock market is peaking after a prolonged rise.

Prices had registered their secondary peak on April 3, 1990. Beginning on September 11, 1990, they crashed, driving the Numismatic News Coin Index down 30% in six months, signaling that the powerful bull market of decades' duration had ended. By 1993, the brokerage firms' coin funds had collapsed 70% in value. In the fall of that year, one large firm liquidated its entire portfolio at a no-minimum-bids auction.

At this point, EWT's forecast of "a 50% drop in the top end and as much as 95% in the lower tiers" has been substantially fulfilled. This article from September 1992 summarized the result well. Has this selling, and the attendant bearish psychology, signaled the *end* of a short but violent bear market?

Philadelphia Inquirer — Saturday, September 5, 1992

Prices of rare coins soared after the 1987 stock market crash, as investors sought safe money havens with high rates of return. Rumors throughout the industry that Wall Street planned to create multimillion-dollar, rare-coin investment funds, and sell individual coins through brokers, created a veritable frenzy, with prices of many coins reaching record levels in 1989.

With the onslaught of the recession, a credit crunch among small businesses, and prices that had soared beyond reason, the values of virtually all coins, rare and common, began to tumble in late 1990. Almost overnight, few people wanted to buy them.

Today, many coins carry the same price they had 20 years ago—on average about a 40 percent drop since 1989, dealers say. In some cases, prices have plummeted significantly more. Common date Morgan silver dollars in mint condition, which fetched more than $800 each in 1987, now retail for $125 or less.

Wall Street, which launched a handful of rare-coin funds in 1989 and 1990, has cooled to the idea. A spokesman for Merrill Lynch & Co., which set up three rare-coin limited partnerships, said he did not even know if his company was still involved. An official with the funds later said they were closed to new investors. He declined to say how much value the funds had lost.